Presentation in final accounts

In Profit and loss A/c	Amount of provision for discount on debtors is shown on the debit side.
In Balance Sheet	Amount of provision for discount on debtors is deducted from sundry debtors on the assets side.

Tutorial note

1 Provision for discount on debtors is calculated on the balance of debtors after deducting bad debts and provision for doubtful debts. This is because provision for discount is to be expected only on good book debts. When the amount realisable itself is doubtful, provision for discount is not to be made. Similar to bad debts and provision for doubtful debts, here also discount allowed to debtors must be transferred to provision for discount on debtors account if a provision exists.

2. When provision already exists and appears in trial balance, the accounting treatment is as below:

a. If the provision required at the end plus the discount allowed, is higher than the existing provision, the difference amount will be created as provision in the current year and will appear on the debit side of profit and loss account.

b. If the provision required at the end plus discount allowed, is lesser than the existing provision, the excess is written back and will appear on the credit side of profit and loss account.

The presentation in the balance sheet is as below:

Debtors	xxx
Less Bad debts (in adjustments)	xxx
	xxx
Less Provision for doubtful debts (end) (adjustment)	xxx
	xxx
Less Provision for discount on debtors (end) (adjustment)	xxx
Balance to be shown in balance sheet	xxx

Example

The trial balance for the year ended 31st March, 2016 shows sundry debtors as ₹ 50,000.
Adjustment: Create a provision for discount on debtors @ 1%.

Provision for discount on debtors = ₹ 50,000 x 1/100 = ₹ 500. The adjusting entry is:

Adjusting entry

Date	Particulars	L.F.	Debit ₹	Credit ₹
2016	Profit and loss A/c Dr.		500	
March 31	To Provision for discount on debtors A/c			500
	(Provision for discount on debtors made)			

Accountancy Unit-13.indd 286 12/12/2021 6:23:06 PM